Equity Research · Consumer Discretionary · Accessories

Tapestry, Inc. (NYSE: TPR)

Stock Pitch: Hold, $115 Price Target

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Share price: $115.82

Hold: Coach is a great brand, but $115.82 already pays for five more great years

Investment thesis

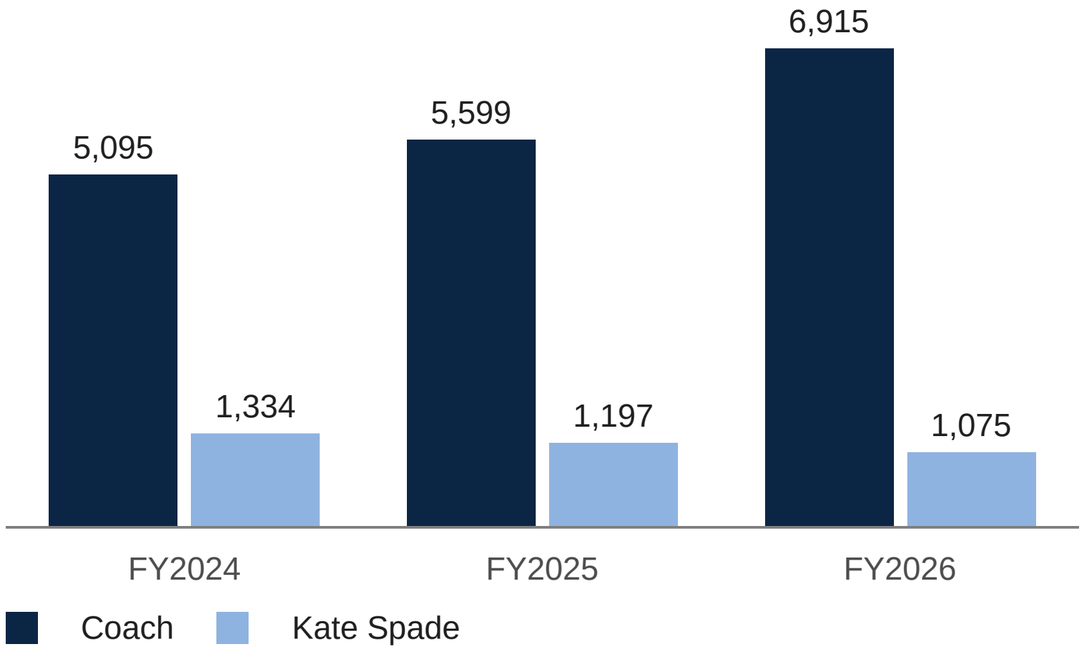
1. **Coach's run is real.** Sales +24% in FY2026, about 11M new customers (35% Gen Z) and handbag prices up at a mid-teens rate.
2. **But growth is slowing.** Coach grew 15% in Q4, and FY2027 guidance implies about 8% (including a 53rd week). Kate Spade is still shrinking.
3. **The price assumes it won't slow further.** A reverse DCF says $115.82 needs Coach to grow 7.9% every year to FY2031. My Base case has 5.4%.
4. **Rates moved against it.** The 10-year is at 5.28%, the highest since 2002. The Street's $166.50 target needs a WACC under 8%.

Recommendation	HOLD
Share price (Oct 8)	$115.82
12-month target	$115
Base case DCF today	$104.60
Bear / Bull DCF	$73 / $124
Street average target	$166.50
Market data	
Market cap	$23.1B
Net debt (ex leases)	$1.2B
P/E on FY27 guidance	14.8x
52-week range	$93 to $165

Source: Tapestry FY2026 10-K and Q4 release; stockanalysis.com; my model. Target = Base DCF grown 1 year at the 11.3% cost of equity, less the $1.85 dividend.

Coach now drives 86.5% of sales and essentially all of the profit

Net sales by brand ($M)



FY2026 segment results ($M)

	Sales	Op. profit	Margin
Coach	6,915	2,541	36.8%
Kate Spade	1,075	(10)	(0.9%)
Stuart Weitzman (sold)	15	(1)	n.m.
Corporate		(616)	
Tapestry (GAAP)	**8,004**	**1,914**	**23.9%**

- China sales grew 32% to $1.4B (17.5% of sales); Japan fell 9.5%
- Kate Spade store count fell from 360 to 326 in FY2026

Source: Tapestry FY2026 Form 10-K (segment and geographic information); Q4 FY2026 earnings release. Fiscal years end in late June.

Coach's growth came from new customers paying higher prices, not from discounting

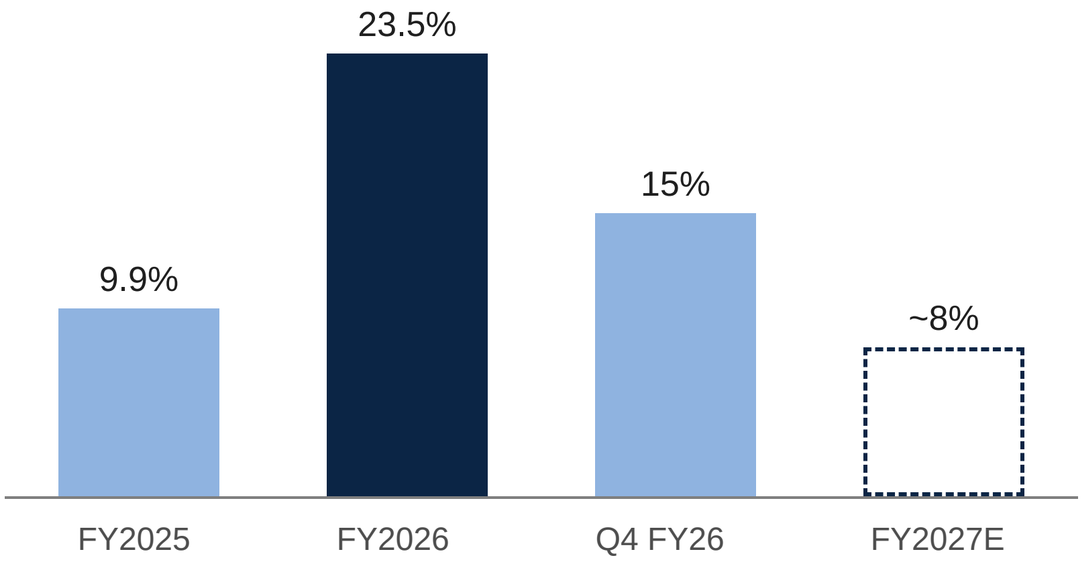
Metric (FY2026)	Result	Why it matters
Coach net sales growth	+23.5%	Double-digit growth in every quarter of the year
New customers acquired	~11.0M	About 35% Gen Z, so the brand is getting younger
Handbag average unit retail	Mid-teens %	Prices went up while volume grew: real pricing power
Adjusted gross margin	76.6%	Up 120 bps even after about 130 bps of tariff costs
Adjusted free cash flow	$1.86B	Funds the $1.7B FY2027 return plan (about 7% of market cap)
FY2027 dividend increase	+16%	$0.4625 a quarter, alongside $1.35B of buybacks

Takeaway: this is not a fad on the numbers. The bull case is credible, which is why I'm at Hold and not Sell.

Source: Tapestry Q4 FY2026 earnings release (Aug 13, 2026); FY2026 Form 10-K.

Coach's growth is slowing, and FY2027 guidance implies it roughly halves again

Coach net sales growth



- **Deceleration:** 24% for the year but 15% in Q4. FY2027E of about 8% is what guidance implies for Coach once Kate Spade falls 8%, and it includes an extra 53rd week.
- **Kate Spade:** sales down 10%, guided to another high single-digit decline and a small operating loss in FY2027.
- **Concentration:** one brand is 86.5% of sales, and China (+32%) did a lot of the work.
- **History:** handbag cycles turn. Michael Kors was this hot before it faded after 2015.

Source: FY2026 10-K; Q4 FY2026 release; MarketBeat (Sep 21, 2026). FY2027E Coach growth is my estimate from company guidance (dashed).

With the 10-year at a 24-year high, the Street's $166.50 needs a WACC I can't justify

WACC build

Input	Value
Risk-free rate (10-year, Oct 7)	5.28%
Beta (5-year)	1.43
Equity risk premium (Damodaran)	4.23%
Cost of equity	11.33%
Pre-tax cost of debt (2035 notes)	6.25%
After-tax cost of debt	4.94%
Equity / debt weights	91% / 9%
WACC	**10.73%**

Cost of debt: yield on Tapestry's 5.500% 2035 notes at June 27 (5.35%) plus the 90 bp rise in the 10-year since then.

Base case value at different WACCs

WACC	Value per share
9.73%	$120.81
10.23%	$112.14
10.73% (model)	**$104.60**
11.23%	$97.99
11.73%	$92.13

- Today's price implies a WACC of about 10.0%
- $166.50 implies about 7.9%: an equity risk premium near 2%

Source: U.S. Treasury; stockanalysis.com (beta); Damodaran (Jan 2026); Tapestry FY2026 10-K debt note; my model. Terminal growth 3%.

My Base case matches FY2027 guidance and is still worth $104.60; even the Bull case only reaches $124

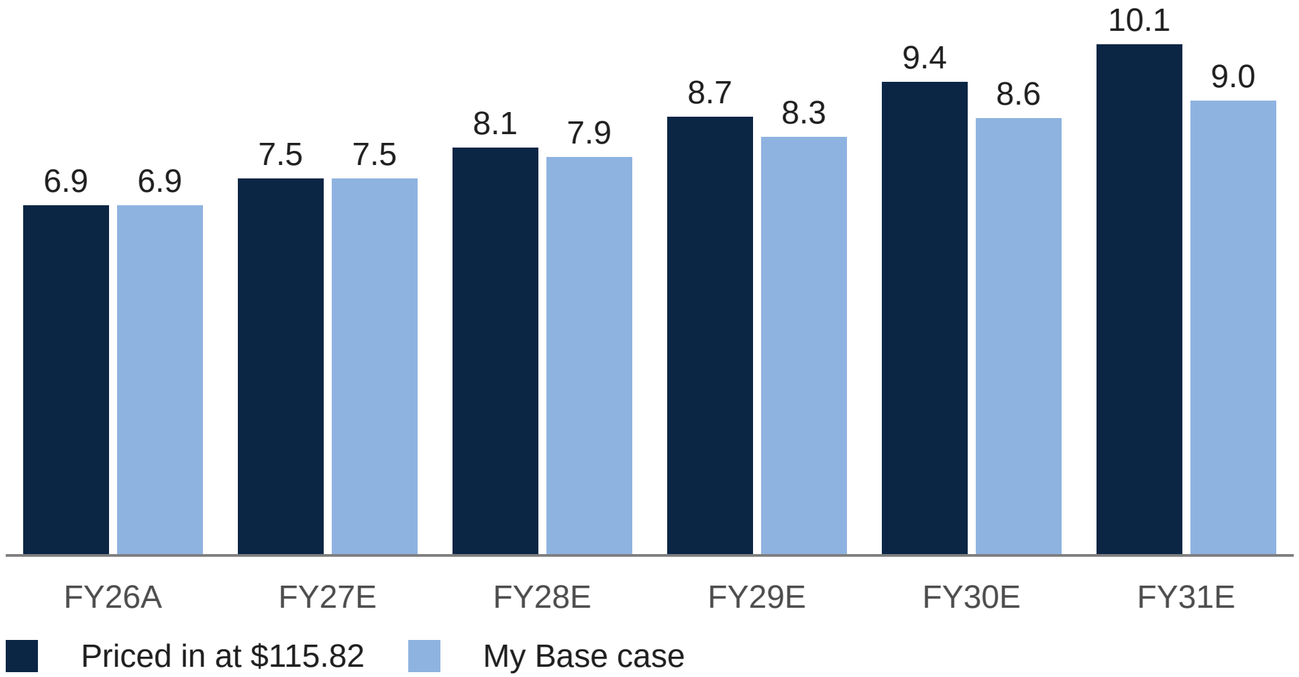
($M, except per share)	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Coach sales	6,915	7,461	7,871	8,265	8,637	8,982
Kate Spade sales	1,075	989	959	959	969	988
Operating margin	23.4%	23.9%	24.2%	24.4%	24.5%	24.5%
Adjusted EPS	$7.05	$7.93	$8.74	$9.62	$10.52	$11.41
Unlevered FCF		1,595	1,711	1,801	1,882	1,951

Case	Coach growth, FY27 to FY31	FY31 op. margin	Value / share	vs $115.82
Bear	6%, then stalls (-2% to 2%)	20.5%	$73.21	(36.8%)
Base	**7.9% fading to 4%**	**24.5%**	**$104.60**	**(9.7%)**
Bull	9% fading to 6%	26.0%	$123.66	6.8%

Base case shown above. FY2027 guidance: sales $8.4B to $8.5B (model $8.45B); EPS $7.80 to $7.90 (model $7.93). 3% terminal growth; stock comp treated as a cost.

At $115.82, the market is pricing Coach to grow 7.9% every year to FY2031 vs. 5.4% in my Base case

Coach net sales ($B): priced in vs. my Base case



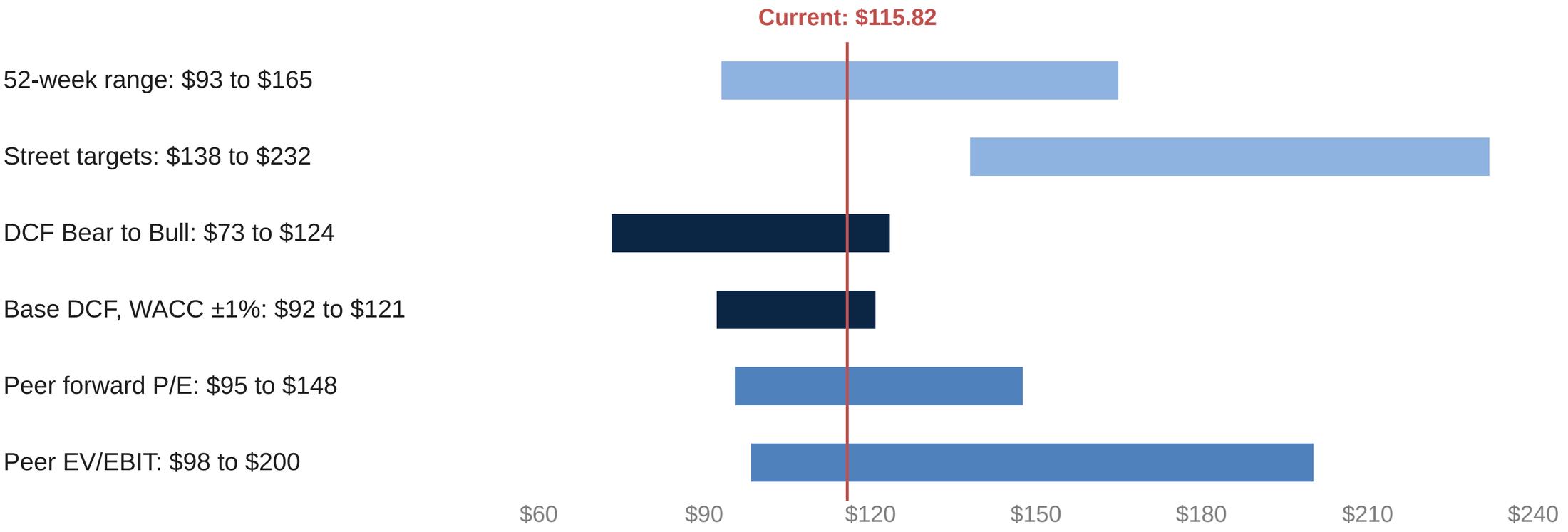
How I got it

- Kept every Base case input the same (margins, WACC, Kate Spade)
- Solved for the one Coach growth rate that makes the DCF equal today's price: 7.9% a year
- That case is worth $115.75, within 0.1% of the price
- The gap by FY2031 is $1.1B of Coach sales

Source: my model (Priced In and Base case sheets).

My DCF and peer multiples cluster around today's price; only the Street's targets sit clearly above it

Implied value per share ($)



Source: my model; stockanalysis.com; MarketBeat. Peer ranges are the 25th to 75th percentile of 9 peers; P/E on FY2027 EPS guidance midpoint ($7.85).

Q1 FY2027 earnings in early November is the first test of whether Coach can hold 8%

Scenario	What would have to happen	Value	Rating
Upside	Coach keeps growing 8%+ after FY2027 with a 26% margin	$124	Move to Buy
Upside	Rates fall and bring the WACC near 9.5%	~$125	Move to Buy
Base	**Coach fades from 8% to 4%, guidance is met**	**$105**	**Hold**
Downside	Handbag cycle turns, discounting returns	$73	Move to Sell

What I'm watching	Why
Q1 FY2027 (early Nov)	Guidance: high single-digit growth and EPS of about $1.55. A big Coach beat proves me wrong fastest.
China	Up 32% in FY2026, so a slowdown would show up quickly in Coach's growth
Tariffs	FY2027 guidance assumes a mid-20% rate on U.S. inventory receipts
Kate Spade	Guided to a high single-digit decline and a small operating loss

Source: Tapestry Q4 FY2026 earnings release (FY2027 and Q1 outlook); MarketBeat; my model (case sheets and sensitivity).

Model checks and key assumptions

Checks

Check	Model	Company / test
FY2027 sales	$8,450M	$8.4B to $8.5B: inside
FY2027 EPS	$7.93	$7.80 to $7.90: within 1%
FY2027 FCF	$1,653M	"Approaching $1.7B"
Balance sheet	$0	Balances, all cases and years
Priced In case	$115.75	vs $115.82 price

Key assumptions

Assumption	Value
Tax rate (FY2026 adjusted)	18.2%
Capex and cloud costs	$300M, then 3.3%
Terminal growth	3.0%
Buybacks after FY2027	FCF less dividends
Valuation date / stub	Oct 8, 2026 / 0.73 yr

Full model: Tapestry_Valuation_Model.xlsx (3 statements, DCF, 9-company comps, sensitivity). One-page note: Tapestry_Research_Note.pdf.

Source: Tapestry FY2026 10-K and Q4 FY2026 earnings release; my model. Student research for educational purposes, not investment advice.